

KKR & Co. Inc.
First Quarter 2026 Earnings Conference Call
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Presenters

Craig Larson, Partner & Head of Investor Relations
Robert Lewin, Chief Financial Officer
Scott Nuttall, Co-Chief Executive Officer

Q&A Participants

Craig Siegenthaler - Bank of America
Glenn Schorr - Evercore
Alex Blostein - Goldman Sachs
Bart Dziarski - RBC Capital Markets
Steven Chubak - Wolfe Research
Bill Katz - TD Cowen
Mike Brown - UBS
Michael Cyprys - Morgan Stanley
Brian McKenna - Citizens
Brennan Hawken - BMO Capital Markets
Dan Fannon - Jefferies LLC
Arnaud Gibat - BNP
Crispin Love - Piper Sandler
Patrick Davitt - Autonomous Research

Operator

Ladies and gentlemen, thank you for standing by. Welcome to KKR's First Quarter 2026 Earnings Conference Call. During today's presentation, all parties will be in a listen-only mode. Following management's prepared remarks, the conference will be open for questions. I will now hand the call over to Craig Larson, Partner and Head of Investor Relations for KKR. Craig, please go ahead.

Craig Larson

Thank you, operator. Good morning, everyone. Welcome to our first quarter 2026 earnings call. This morning, as usual, I'm joined by Rob Lewin, our Chief Financial Officer, and Scott Nuttall, our Co-Chief Executive Officer. We would like to remind everyone that we'll refer to non-GAAP measures on the call, which are reconciled to GAAP figures in our press release, which is available on the Investor Center section at kkr.com. And as a reminder, we report our segment numbers on an adjusted share basis. This call will contain forward-looking statements, which do not guarantee future events or performance. Please refer to our earnings release as well as our SEC filings for cautionary factors about these statements.

So, first, beginning with our results for the quarter. Fee Related Earnings per share came in at \$1.13. That's up 23% year-over-year. Total Operating Earnings of \$1.47 are up 18% year-over-year, and Adjusted Net Income of \$1.39 per share is up 20% compared to one year ago. All of these figures are among the highest we've reported in our firm's history.

Now going into a little more detail. Management fees in the quarter were \$1.2 billion. That's up 30% on a year-over-year basis driven both by continued fundraising momentum alongside deployment activity really across the platform. Excluding catch-up fees in both periods, management fee growth was strong at a touch north of 20%. And as we've highlighted previously, our fee base continues to be diversified with private equity, real assets, and credit, each contributing approximately one third of total fees over the trailing 12 months.

Total transaction and monitoring fees were \$253 million in the quarter. Capital Markets fees were in line with last quarter at \$224 million driven by activity across PE, infrastructure, and credit. And Fee Related Performance Revenues in the quarter were \$24 million.

Turning to expenses. Q1 Fee Related Compensation was again right at the midpoint of our guided range or 17.5%, and other operating expenses were \$195 million. So, in total, Fee-Related Earnings were over \$1 billion or the \$1.13 per share figure that I mentioned a few moments ago, up 23% year-over-year and our FRE margin increased slightly quarter-over-quarter to approximately 69% at March 31.

Insurance Segment Operating Earnings were \$260 million. Now, as a reminder, we report the insurance investment portfolio largely based on cash outcomes. So, to give you a sense of the embedded profitability as we've done in the last couple of quarters, our insurance operating earnings would have been slightly north of \$300 million in Q1 if we included the impact of marks on investments where a significant portion of the return relates to appreciation rather than cash yield. And as a reminder, Insurance Segment Operating Earnings alone do not capture the full economics of GA to KKR.

Page 22 of our earnings release details the management fees under our investment management agreement, fees from Ivy-related vehicles where we have over \$60 billion AUM that wouldn't exist without GA, alongside GA-related capital markets fees. When you take all of that together, total insurance economics over the LTM were \$1.9 billion. That's net of compensation, up 14% versus the prior period. Strategic Holdings Operating Earnings were \$48 million in the quarter, and we continue to track nicely towards our expected \$350-plus million of operating for 2026 with earnings here expected to be more back-end weighted over the course of the year.

So, altogether, Total Operating Earnings, which, as a reminder, represents the more recurring components of our earnings streams, were \$1.47 per share, up nearly 20%. And over the last 12 months, 85% of total pre-tax segment earnings were driven by these more recurring earnings streams, demonstrating in our view the durability that you're seeing across our business model.

Moving to investing earnings within the asset management segment. Realized performance income was over \$750 million, and realized investment income was approximately \$120 million, bringing total monetization activity to around \$880 million, up over 50% versus Q1 of 2025. This activity was driven by a combination of public secondary sales and strategic transactions alongside of dividends and interest income.

After interest expense and taxes, Adjusted Net Income was \$1.2 billion for the quarter or \$1.39 per share.

Turning to investment performance. Page 10 of the earnings release details performance we're seeing across asset classes both this quarter and over the last 12 months. Broadly, you're seeing healthy investment performance on behalf of our clients across asset classes including through this recent period of heightened volatility. And given investment performance, importantly, total embedded gains that's comprised of gross carry together with the gains that sit on our balance sheet across Asset Management and Strategic Holdings were \$18.3 billion at 3/31. That's up 11% compared to one year ago and remains elevated even as we've been generating healthy monetization activity.

Now as you can imagine, we've been fielding a lot of questions on direct lending, so we've added a couple of pages to our earnings release. First, just to level set, if you turn to Page 20, you see the size of our direct lending platform. In total, direct lending is \$39 billion or 5% of our AUM. It's an important business for us, but in the framework of KKR, it's of modest size. And with a lot of focus on redemption activity in the wealth space, we note the size of our private BDC footprint in the second bar from the right. It's even smaller, around \$3 billion of AUM or 0.4% of our AUM in total. In terms of our public BDC, FSK is a little less than 2% of our AUM. FSK reports its Q1 earnings next week. We're not going to get ahead of that. It's important, though, not to conflate FSK's portfolio with other pools of capital. So, looking at Page 21, you see investment performance across our institutional strategies as well as our private BDC, all vintages since 2017. You see very consistent outperformance versus benchmark. We thought the more granular framing of investment performance here across the direct lending platform would be helpful context for everyone.

And then finally, consistent with historical practice, we increased our dividend to \$0.78 per share on an annualized basis beginning with this quarter. This is now the seventh consecutive year we've increased our dividend since we changed our corporate structure, increasing our annualized dividend over this timeframe from \$0.50 per share to \$0.78.

And with that, I'm pleased to turn the call over to Rob.

Robert Lewin

Thanks a lot, Craig, and thank you, everyone, for joining our call this morning.

I'm going to cover four topics today. First, our continued momentum around capital raising. Second, our monetization activity, which has been increasing at a healthy pace in spite of the recent market volatility. Third, we have been making some important decisions around capital allocation. And finally, I'm going to go through how we think about the earnings power of our business. So, let me start with capital raising. We raised \$28 billion of new capital in the quarter with demand really widespread across asset classes and geographies. A real bright spot for us this quarter was in credit where we raised \$15 billion across our platform. That momentum was driven by our Asset Based Finance business, which represents over \$90 billion of AUM today.

Given the current sentiment around private credit, it may be surprising that when you look at new capital raised, so this is excluding GA, this was one of our larger credit fundraising quarters. Inflows here more than doubled quarter-over-quarter, and our capital raising pipelines remain strong. Most recently, over the last few weeks, we've received meaningful inbound interest from institutions around our direct lending business with several viewing the current dislocation as an interesting entry point given the redemption activity that exists today in the private BDC space.

Another milestone for us this quarter was the final closing of our North America XIV fund at \$23 billion, eclipsing the prior \$19 billion fund. Across the most recent vintages of KKR's flagship regional funds, so that's Americas plus Europe plus Asia, we have \$46 billion of total capital to invest across this vintage. We are the clear market leader in private equity.

And finally, in wealth, across all of our asset classes, our K-Series suite brought in \$4 billion of capital in Q1. Redemptions totaled around \$250 million, and AUM now stands at over \$38 billion. Our performance, deployment, and capital raising continue to be in line or ahead of our expectations. Given all the market noise, we were candidly surprised by the strength of flows in Q1, but we also do expect a slowdown in Q2, consistent with what we saw after the tariff announcements last year. We're still operating off of a relatively low base of AUM, and we continue to believe that this channel will be a long-term source of meaningful growth for our industry and us.

Turning now to monetizations. As we have explained on prior calls, we are very pleased with the performance of our portfolio, and we are seeing the benefits of our focus on linear deployment and portfolio construction. You can see our continued monetization activity in our financial results. As Craig noted, we generated around \$880 million of monetization revenue in the quarter. Realized carried interest was \$720 million. That is up 120% year-on-year and we have a healthy pipeline of realizations across strategies and regions.

Over the past month or so, we have announced several encouraging transactions including the closing of the sale of OneStream Software for 4.5x our cost and the sale of CoolIT Systems, a global leader in liquid data center cooling for almost 15x our cost. We have also agreed to sell two of our 2021 investments despite the more challenging vintage year, one in infrastructure, which would generate approximately 2x multiple of money and one in traditional private equity

at nearly 3x our cost. And most recently, we completed a secondary of our remaining shares in Hyundai Marine Solutions in Korea, resulting in 7-plus times multiple of capital for the full life of that investment.

I'd like to next shift to capital allocation. It is an area of critical importance to our long-term performance, and we have been making some important and deliberate decisions. As a reminder, we have focused on four key tools available to us to allocate our cash flow, Strategic M&A, Insurance, Share Buybacks, and Strategic Holdings. Each of these tools takes full advantage of the KKR ecosystem and as a result have the potential for high ROEs. Importantly, we do not have a framework that assigns a specific amount of capital spend into any one of these areas. Our approach here is all about how we take our marginal dollar of cash flows and drive the most amount of recurring, durable and growing earnings on a per share basis. That is the mindset we have consistently taken to capital allocation and it is one that is highly aligned with our shareholders given employees here own roughly 30% of our stock. We believe that we have delivered a lot of value to our shareholders through strategic capital allocation and we are very confident in our ability to continue to do so in the future.

So, starting here with strategic M&A. This morning, we announced the closing of our acquisition of Arctos. As a reminder, Arctos is the leading investor in professional sports franchise stakes and a leader in GP solutions with approximately \$16 billion of AUM and \$10 billion of Fee Paying AUM. If we are able to achieve our objectives in partnership with the Arctos management team and we are confident that we will, it is hard to find a better allocation of capital. Next, in Insurance. In the first quarter, we continued to see increased levels of competition here particularly in the retail channel. Given that backdrop, alongside tight spreads on the asset side, we were disciplined around pricing and a lot more selective in that channel. That said, as spreads have widened a bit more recently, we are starting to see a more attractive entry point. On the other hand, an area where we leaned in this quarter was share repurchases where we saw attractive risk-adjusted returns given the volatility across our sector. We repurchased or retired \$317 million of stock this year through May 1 at an average price of approximately \$91, and our Board recently authorized an increase to our share repurchase program by an additional \$500 million.

Taking a step back, there is clearly a lot of noise in some of the markets where we operate. But from our seats, there is a big disconnect between perception and our long-term prospects across our diversified business model. That's why we have been leaning into buying back our stock, and you would have also seen our Co-CEOs and a number of our Directors buying stock personally in the quarter. Whether it's our performance in Q1 or the long-term earnings power of our franchise, our positioning stands in contrast to some of that market noise. Looking at Q1 in particular, we've grown our headline profitability metrics, FRE, Total Operating Earnings, and ANI all on a per share basis, each around 20% year-on-year. It's actually the second highest quarter we have reported in our history for FRE and TOE and the third highest for ANI. And we continue to feel great about the durability of our model and the earnings power that we continue to create, which provides us with significant visibility into future earnings growth.

Over 90% of our capital is perpetual or committed for eight years or more. Today, we have \$125 billion of committed but uncalled capital, nearly as much as we've had at any point in our history. Looking at our Management Fees and Fee Related Earnings over the LTM, we've grown at a high teens CAGR over the last three years. Alongside this growth, the quality of these fees has significantly improved as we've diversified by strategy and geography.

And finally, our embedded gains, which Craig mentioned, stand at over \$18 billion, one of the highest levels in our history, and they provide a lens into the strength of our portfolio and our ability to create meaningful outcomes in the future. So, we benefit from real stability and durability of our earnings and increased visibility on how they will grow.

Finally, before I'm going to hand it over to Scott, I did want to provide an update on our 2026 guidance. First, based on the underlying momentum that we are seeing across the business, we continue to feel very confident in our ability to exceed our targets for fundraising, Strategic Holdings Operating Earnings, and FRE on a per share basis.

Turning to ANI. As we said last quarter, following our bottoms-up budgeting process, we entered the year expecting 2026 ANI to reach \$7-plus per share, assuming a constructive and more normalized monetization environment. At that level, earnings growth would be approximately 45% year-over-year. So, it's clearly an ambitious target but one that we did have line of sight to achieving. That said, the operating environment four months into the year has, of course, been more challenging than what was embedded in our plan.

Importantly, we are still seeing healthy monetization activity. Gross monetization revenues in Q1 were up more than 50% year-on-year, and when we look at exits since March 31st as well as signed transactions expected to close in the coming quarters, that represents over \$1.2 billion of gross monetization revenue for KKR. Notably, that is the largest forward monetization figure we've discussed on a call in our history. So, while we continue to generate very strong outcomes, we do have modestly less visibility today than what our budget would have suggested at this point in the year.

As a result, if you were handicapping our ability to reach \$7 per share, we do think it is more likely that we land below that level. Importantly, if that were to happen, any delayed monetizations that impact 2026 would not be lost as we would expect them to shift to 2027 and beyond.

And stepping back, the broader portfolio remains in very good shape. Embedded gains are at or near record levels. The earnings power of the firm continues to grow at an attractive rate, and we feel extremely well positioned for the future.

With that, I'm going to hand the call off to Scott.

Scott Nuttall

Thank you, Rob, and thank you, everybody, for joining our call today.

The first thing I want to do is welcome the Arctos team to KKR. Our new partners are highly creative and entrepreneurial, and we could not be more excited to work together to build a \$100 billion-plus AUM business.

KKR had its 50th birthday last Friday. We are very proud of this milestone. As a firm, we are not very good at celebrating. We are, however, good at gratitude, so it was nice to be able to thank all our clients for their partnership and trust and all our people for their dedication and hard work.

We would also like to thank you, our shareholders, for your partnership. We have been a public company for about a third of our 50 years, a period of time that has seen significant evolution and growth in our firm, all of which happened with your support. Thank you for helping us get to where we are.

So, let's talk about how we see things.

We asked our team to pull together some slides recently to help frame the current volatility in our stock relative to our results. Simple just multiple years of AUM, Fee Paying AUM, FRE, Total Operating Earnings, and ANI on five pages, all of which metrics are steadily up and to the right with growth rates generally between 10% and 25% per year for the last several years.

We then overlaid our stock price on those same charts. Picture worth a thousand words approach. What do you see when you do that? Our operating metrics are steady with consistent growth over a long period of time. The fact is perception of the volatility of our business and industry is disconnected from the lived experienced, and that's okay.

We are focused on what we can control and executing our plan. And as we do that, we'll continue to prove the durability of our business model, and we're confident that the volatility in our stock will come down over time.

If you step back, the first quarter was no exception to our long-term trend. All of our key metrics grew about 20% in the quarter relative to Q1 last year.

We raised a lot of capital, deployed a lot of capital, and monetized multiple investments. And as you heard, the volatility in our stock gave us an opportunity to adjust our capital allocation priorities and buy our shares back at what we believe is a significant discount to intrinsic value, which is why Joe and I have bought more stock as did multiple members of our Board.

So, our suggestion is don't trust the headlines. Stay focused on the fundamentals and how we are executing. That's what ultimately matters and how we are spending our time. This approach has served us well for the last 50 years and we expect will continue to for the next 50.

With that, we're happy to take your questions.

Operator

Thank you. We will now be conducting a question-and-answer session. If you would like to ask a question, please press star one on your telephone keypad. A confirmation tone will indicate your line is in the question queue. You may press star two to remove yourself from the queue. For participants using speaker equipment, it may be necessary to pick up the handset before pressing the star keys. We ask that you please limit yourself to one question and if you do have a follow up, please get back into the queue. Thank you. Our first question today will come from Craig Siegenthaler with Bank of America.

Craig Siegenthaler

Good morning, Scott, Rob. Hope everyone's doing well. My question is on Global Atlantic. So, one of the big public annuity competitors pulled back in that business in 1Q and actually cited increased competition, and we know the Alt models, including GA, have gained a lot of share versus the legacy players in the U.S. fixed-index and fixed indexed annuity markets. So, I was curious if you could update us on competition, underlying ROE potential, and how we should think about the growth trajectory especially with the institutional funding market potentially a little softer near term.

Robert Lewin

Craig, it's Rob. Thanks a lot for the question. We are seeing that competition. Competition on the liability side is very high, and we know on the asset side, spreads are as tight as they've been in a very long time. And so, the combination of those two things is putting some increased competitive pressure on ROEs. That's why you saw us also pull back on the origination front in Q1 as well. Now, with that said, we think it's best to look at insurance businesses through the cycle and where we're spending a ton of time at both Global Atlantic and KKR is making sure when there is increased levels of volatility. And by the way, when that happens, two things will happen simultaneously. We believe liabilities will become cheaper, and definitionally, you're going to see spreads come out on the asset side. And so, the ROE potential is outsized. And so, where we're spending our time is how do we make sure we are best positioned for that environment, and one of the real competitive advantages that we have on our platform relative to the broader insurance space is the fact that we sit on \$6 billion of dry powder equity that we can draw down to invest into that dislocation, much like you would in a private equity fund. And as a reminder, that \$6 billion of equity, we think translates into \$60-plus billion of buying power on the liability side. So, a lot of effort here making sure we're ready to go when that volatility does come. But today, we are seeing those increased levels of competition. We also know that that's not going to last forever.

Scott Nuttall

Yeah. Hey, Craig. It's Scott. I hope you're well. The only thing I would add, I think that the narrative is exactly right in the U.S., call it, retail market where there has been significant competition. I think the recent move we've seen in spreads and kind of some of the volatility is maybe dissipating some of that a bit. So, opportunities are looking a bit more interesting as Rob mentioned in the prepared remarks. But two things I'd mention. Remember, our business has good balance to it. We have a retail business and an institutional business. It does block, does flow, some PRT. Not all of those markets are seeing that same level of competition that we're seeing on the retail side. So, it's nice to have that diversification across the platform. And then the other thing we've talked about in prior calls, one thing that makes us a bit different is by virtue of being able to marry our origination franchise on the investment side with the origination franchise and liabilities, we are emphasizing more longer duration liabilities. And I think it's harder for other people necessarily to be able to generate the returns we think we can with those longer duration liabilities matched with assets that we can originate. So, I wouldn't paint everything with the same brush, but I think your overall comment is well placed.

Robert Lewin

Yeah. I'm going to jump in with one last point on the elongating our liabilities because I think it's an important one to get across. If you look at our Q1 originations across the franchise, approximately 80% of those originations had seven years of duration or more. Just to contrast that relative to full year 2024, that's the year where we made the pivot around elongating our liabilities. For that full year, we were 37%, seven-plus year duration. So, we've almost doubled – or we have doubled rather our exposure to those longer duration liabilities.

Operator

And next, we'll move to Glenn Schorr with Evercore.

Glenn Schorr

Hello, there.

Robert Lewin

Hello, Glenn.

Glenn Schorr

So, I'm curious – you've had better DPI and better monetizations than most. You mentioned the over \$18 billion of embedded gains and the market is at all-time highs. So, I'm curious on the attribution of what changed and what holds back the timing and the ability to get to the ANI targets now. Is it as simple as there's a war there and it delayed things? I don't know if you can give us any attribution of parts of the portfolio that, despite having these huge embedded gains, the market is just not ready to accept.

Robert Lewin

Yeah. Thanks, Glenn. It's Rob. I think it's all a matter of degree is the reality. And so, there's a lot of really good things going on across our business today as we went through on the prepared remarks. Our monetization guidance of \$1.2-plus billion is higher than it's ever been at any point in our history. But at the same time, three months ago, we were on this call, we said we would be very transparent on our quarterly calls around where we stood on the \$7. And if we were handicapping it now and when you look at some of the volatility that we have experienced over the first four months of the year, we'd tell you on balance that we're going to be on the other side of \$7 and we wanted to share that as we noted we would and keep you all updated on our progress.

Scott Nuttall

Hey, Glenn. It's Scott. The only thing I'd add that overall, as you heard, the portfolio is in great shape. I think we're seeing real benefits of our focus on portfolio construction and linear deployment, diversification, all the things we talked about on this call for the last several years, and that discipline is really coming through in the results. And so, the value is there, to your point about the embedded carrying gains. This is really a question of when do you want to monetize it? And so, the IPO market feels good. We've got several companies in the pipeline. But obviously, an IPO isn't necessarily an exit per se. It can be a partial exit in the beginning of one. But another way that we exit is obviously through strategic sales. And so, the one thing, to your comment, if you've got an asset that you've built value in for five, seven years and if the backdrop in terms of war, energy prices, et cetera, is a bit uncertain or uncomfortable, I'm not sure you want to necessarily sell that wonderful asset into that environment if it's a strategic buyer and give them a little bit more time for the world to right itself. And so, that's really what's happening on the margin. You heard from Rob. It didn't really impact anything in the first quarter. This is more of an expectation that, if things go on for a longer period of time, there may be some things that we delay the launch of a sales process because we want that clarity in the market for the buyer on the other side. That's all we're talking about. But this is just timing. This isn't magnitude.

Operator

Thank you. Our next question we'll hear from Alex Blostein with Goldman Sachs.

Alex Blostein

Hi. Good morning, everybody. Thank you for the question. So, really nice momentum on fundraising, obviously, despite what's been a tough backdrop and management fee growth north of 20 normalizing for catch-up fees is all good. As you think on the forward, it might be helpful just to get a mark-to-market on your expectations for fundraising for the rest of the year given the bulk of the larger flagships are now in the run rate, particularly how you're thinking about Asia. I think that one is about to start. But I guess, more broadly, your confidence in maintaining this type of fundraising outlook for the rest of the year, which I think is what embedded in your FRE growth assumptions. Thanks.

Craig Larson

Alex, it's Craig. Why don't I start on that? And thanks for the question. I think it's probably worth beginning on the breadth and diversification of fundraising. So, if you look over the last 12 months, as Rob noted, we raised \$127 billion in total. So, \$35 of that roughly is from GA within our credit platform, around \$35 in real assets, around \$35 is the non-GA portion within credit, and the balance is \$20, a little over that in private equity. So, you're seeing a very healthy balance and diversified result in terms of our fundraising. Rob talked about that in terms of our management fee growth where, again, you're seeing real breadth and diversification in management fees as a result of that. And I think the other point that kind of highlights this relates to flagships. So, flagships were around 15% of new capital raised in the quarter, 12% over the trailing 12 months. Again, that number was very different at KKR five-plus years ago as I know you'll remember.

And then I think on the go forward, look, there's lots of opportunities for our fundraising team across strategies, across geographies. I think if we look into strategies where we expect to be active in the next 12 to 18 months in private equity, that includes Asia private equity, Europe private equity, tech growth, health care growth. We've got our K-Series, and then we have Capital Group, as well. Within real assets, global infra, core infra, we have a climate strategy, Asia infra, as well as K-Series infrastructure, opportunistic real estate, opportunistic real estate credit, again, just a wide group of opportunities in real assets credit across Direct Lending, Leveraged Credit, Asset Based Finance. Again, you heard Rob note in our prepared remarks some of the momentum that we're feeling and seeing last quarter as it relates to high-grade ABF in particular, Asia private credit, Asia leveraged credit, capital solutions, CLOs, K-Series, as well, and then insurance, again, reinsurance co-investment opportunities. So, I think that breadth of opportunity that we have is what you're hearing in the confidence when we talk about the go forward from a fundraising standpoint, what that then can mean in terms of management fee growth and again, what ultimately that can mean in terms of FRE growth.

Scott Nuttall

Hey, Alex. It's Scott. I would say, I mean, if you can't tell from Craig's list there, the fundraising feels really good. I'd say we've got a lot of momentum on a number of fronts. It's global including the Middle East, which I would very much put in the business-as-usual category pension and sovereign wealth funds, insurance companies, high net worth, wealth. So, it all feels really strong right now. And some of the things we've talked about on prior calls, for example, this consolidation theme that we've seen more and more clients wanting to do more with fewer partners is absolutely playing out especially as they see more dispersion of results. We're heading toward more of a K-shaped industry, and so we think there's opportunity for us to continue to take share. And we think the addition of Arctos to the family only adds to that as another set of asset classes which are able to generate differentiated kind of returns. So, bigger relationships and partnerships would be another theme I would point to on the back of that consolidation. But hopefully, that gives you a bit of color.

Operator

And next, we'll move on to Bart Dziarski with RBC Capital Markets.

Bart Dziarski

Morning, everyone, and thanks for taking my question. Congrats on the CoolIT realization. And I noticed you implemented an employee ownership program at acquisitions. So, could you maybe speak to how that program contributed to the successful outcome of that deal and then maybe more broadly on KKR's ownership program at the portfolio company level? Thanks.

Robert Lewin

Hey, Bart. It's Rob. Thanks for bringing that one up. CoolIT was obviously an awesome outcome for our investors. It is not often that we exit a business at almost a 15x multiple of money. And as you noted, CoolIT is one of 85 KKR portfolio companies globally now that are part of our broad-based employee ownership programs where every employee, so it's not just senior management are equity owners. And in the case of CoolIT, the most tenured employees there are going to receive roughly 8x their annual base salary at exit. So, a really meaningful outcome and deservedly given the progress and the returns that we were able to generate at CoolIT. So, more broadly, if you look at those 85 businesses that I referenced, we now have approximately 200,000 non-management equity owners in those businesses. And we're really proud of this initiative. We know for sure that it drives better outcomes at our portfolio companies. We see it in the numbers. You've got higher engagement scores. You've got higher retention rates. Working capital efficiency is up. Margins are up. And ultimately, profitability is up. And so, we have developed this program in a way where we've got the full employee base at these companies feeling like owners in the business and they're delivering better results. And because of that, they're able to share in those results. So, we think it's great, and we're really proud of that across our firm.

And then maybe finally, while we're on this point, I do think it's worth mentioning that we are also a founding member of Ownership Works. This is a nonprofit that our partner, Pete Stavros, who co-runs our Global Private Equity business founded a number of years ago and we now have greater than 100 partners alongside of us in this effort. And that's really what it's all about. We want this to become a movement beyond what we're doing at KKR. And so, a big focus of what we're doing across the portfolio and then one that we're excited to be able to hopefully share results like this with you all in the future.

Scott Nuttall

Thanks for asking about it, Bart.

Operator

And next, we'll move on to Steven Chubak with Wolfe Research.

Steven Chubak

Hi. Good morning and thanks for taking my question.

Craig Larson

Morning.

Steven Chubak

So, I wanted to ask on Strategic Holdings and AI risk more broadly. Certainly, encouraging to hear the Operating Earnings Target for Strategic Holdings get reaffirmed. Digging into the sector exposures, about one third of last 12-month EBITDA is concentrated in the business services sector. It's an area that's viewed as being more at risk of AI disintermediation. I was hoping you could speak to just how you've underwritten AI risk in the strategic holdings portfolio and even across the broader universe of KKR portfolio companies and just any KPIs you can speak to help folks better handicap that risk.

Craig Larson

Hey, Steve. It's Craig. Why don't I start? So, just look to level set. Software represents around 7% of our AUM. In private equity, it's a higher percentage. It's around 15. Across our credit platform in total, it's 5, and in Global Atlantic, that number is about 2.5% of our AUM. Now, I think first, in terms of that percentage of EBITDA in strategic holdings, that percentage is about the same. You're correct. It's a low double-digit percentage of EBITDA in the quarter. And then why don't I first talk about marks and then from there, why don't we talk about AI and from both an underwriting standpoint and then opportunities for us? Look, I think in terms of the quarter, probably two things to note. First, software companies broadly are performing. So, looking at revenue and EBITDA growth, we're still seeing healthy year-over-year revenue EBITDA growth I think high single digits. But at the same time, obviously, in the quarter, we saw weakness across equity markets in the software space. So, given the way that our valuations work, this dynamic from a public mark-to-market standpoint had a negative impact on the marks, right? So, when you put those two pieces together, really despite the operating and financial performance, marks across the software names largely declined in the quarter.

Now in terms of AI and how we're approaching AI as a firm I think from a couple of things. One, look, the implications won't be a surprise to anybody on this call from AI are really far reaching, right? Like the barriers to adoption are low. Gains are real. AI can be very helpful at parts of workflows. And there will be businesses where the fundamental strategic positioning is either materially enhanced or in some cases on the flip side could be replaced. Now, from an investing standpoint, AI we look at both from a diligence lens as well as from a value creation perspective. So, from an underwriting standpoint, kind of the part of the question that you focused on, look, we're focused on AI, how it affects margins, pricing power, workflow relevance, and cash flow resilience.

And so, the focus is not just on AI exposure. It's really on the durability of unit and business economics, and that's through trailing lines as well as on the go forward and how does AI impact those dynamics for us. And then I think perhaps even more importantly, in terms of value creation, look, we think we're really well positioned. Like, AI at this point is deployed across 150-plus companies to automate workflows, enhance products, drive new growth. And

I'm sure we have multiple AI initiatives across every one of those companies. And so, as a firm, how we're focused on this is ensuring that our operational team at Capstone, we talk about Capstone a lot, is helping ensure that lessons travel across our teams and our companies, what works, what doesn't work, what's easy, what's hard. And again, as I know you know, we work at a very collaborative firm, so it's very much within the framework of our culture to help each other. I don't think that's necessarily to the same degree at every firm because a really siloed firm is not going to benefit in the same way.

And then on the flip side of all of this relates to the opportunity in the investment front. So, digital infrastructure remains a massive theme for us. We've deployed over 40 billion of capital, KKR plus our partners, across the variety of digital infrastructure themes. Have over a 20% gross IRR return to date in terms of that activity for us. And again, Bart obviously already touched on the CoolIT example, again, an example of an investment that, again, when everything comes together kind of shows you the art of the possible. So, hopefully, that's helpful.

Operator

And next, we'll hear from Bill Katz with TD Cowen.

Bill Katz

Great. Thank you very much for two things, the extra disclosure and finding your own data to report earnings. Very helpful and thank you. Just coming back to insurance for a moment. So, doing the back of the envelope math, if I take your slightly north of \$300 million sort of pro forma first quarter, you get just below 11% ROE for the business if I did the math right. A, let me know if that's right. So, as you think forward, just given all the puts and takes of the business, I think you mentioned spreads widening out a little bit into 2Q. What do you think is a normalized level of ROE and maybe the timeline to get to that? Thank you.

Robert Lewin

Yeah. Bill, it's Rob. Why don't I start? And maybe three or four points as it relates to profitability and ROE of the insurance business. Point one, you hit on it was the mark-to-market benefit relative to the accrued income that's a little north of \$300. But in the quarter, given some of the volatility, we actually didn't hit our targeted return from a market perspective. So, our target return is low double digits. If we had achieved that targeted return in the quarter, our run rate was probably closer to \$330 million just to give you a sense of the magnitude. Point three, I hit on this a little bit, but it is a competitive market today as it relates to the asset and liability side, and we know for certain that it won't always be this way. And so, how do we make sure that we really capitalize on that environment where there is volatility? And we talked earlier on how we think we're incredibly well positioned to do that. And honestly, it's a big reason why we bought 100% of GA, because last time this happened, we felt like we missed it. And then finally, I would point you as always to page 22 of our press release of our earnings release where you could see the all-in ROE figures that we have. I think always instructive to take a look at that page as you're thinking about the performance of our broad-based insurance business.

Operator

And next, we'll move to Mike Brown with UBS.

Mike Brown

Hi. Good morning, Scott, Rob, and Craig. So, I wanted to ask on Arctos. So, \$10 billion of Fee Paying AUM. Can you just talk about the current fee rate profile there? And then any fundraising expectations over the, call it, next 12 to 24 months? And then strategically, how do you view the long-term opportunity in the wealth channel with Arctos? Is that something that could kind of feed origination into PayPac? Or over time do you think you could even have like a dedicated sports fund or a dedicated secondaries product?

Robert Lewin

Great. Thanks a lot for the question. Let me start, and I know Craig and Scott might jump in. But just as it relates to the financials, we're not planning to disclose given the size of the Arctos business relative to KKR specific Arctos related financial information. I think we can tell you that the profile of the business is generally pretty consistent with the profile of KKR's business. You've got, we think, best-in-class teams raising third-party capital that's done in a pretty lean way on the employee front and with fee terms that generally look like fee terms that you would expect to see across some of the private closed-end funds here at KKR. As Arctos and what we're building in broader solutions business gets bigger and becomes a much more material part of the firm, I can certainly see a world in the future where we're disclosing that solution-specific P&L information. But for the foreseeable future, I suspect you'll see it embedded in our Private Equity business line in coming quarters.

Craig Larson

And Mike, it's Craig. Just on the fundraising piece. First, thanks for asking about Arctos. Scott, Rob, and I had fun this morning in our internal firm call welcoming the Arctos team to the family post-close, obviously. And look, on fundraising, it's a really exciting opportunity for us, and I think our fundraising team, we know, is excited both to support the distribution of existing Arctos strategies. And I think, in particular, if you think of the footprint that we have and the boots on the ground that we have on a global basis, we think there's the opportunity for us to be really helpful right out of the gates. And then secondly, to your question on wealth, nothing to announce specifically this morning but certainly lots of ideas and we're excited to develop and think through potential new wealth solutions together with the Arctos team. This could include things like an evergreen vehicle that would include sports as well as some type of secondary/GP solutions vehicle as well. So, more to come over time but just a really exciting long-term opportunity for us. We're excited to get after it.

Operator

And next, we'll move on to Michael Cyprys with Morgan Stanley.

Michael Cyprys

Thanks so much for taking the question. Just wanted to ask about AI deployment across portfolio companies. Curious where specifically you're seeing AI-driven revenue uplift versus AI-driven cost savings in the portfolio? And how might you quantify that so far? And curious any expectations as you look out from here. And I was also hoping you can elaborate a little bit to your earlier point on what's been easy so far, what's been hard, and any sort of lessons learned from adoption? Thank you.

Craig Larson

Mike, it's Craig. Why don't I start? Look, we're very early in broadly what we think the opportunity set is. I think we're seeing broad adoption of AI, and the next step of that is really understanding the execution and bringing the power of AI to life, both from a revenue standpoint as well as an EBITDA standpoint. I'm sure there'll be points in time or a point in time when it will make sense for us to both talk about specific progress as well as guideposts for us. To be clear, we are seeing an EBITDA uplift broadly across the portfolio, and we think there's a lot more for us to do. It has been interesting to see the evolution of AI to date and how it's almost started in ways that are interesting like I think on various language applications. It's just interesting to see AI really begin to disrupt that part of the landscape most broadly first. But as we think about things like broad efficiencies, whether that's sales force or operating efficiencies across the platforms and workers, and there's going to be even broad businesses and opportunities and things like robotics, or you think of what AI can do in terms of the health care space. There's just really long-term broad opportunities for us across the spectrum of the business and there'll be more to come from us over time.

Operator

And we'll move on to our next question from Brian McKenna with Citizens.

Brian McKenna

Thanks. Good morning. So, within your private equity business, what's the typical markup on an investment when it's realized versus the prior unrealized mark? And then is there a way to think about the incremental carry that's created in this markup? And I'm just trying to figure out if the \$2.6 billion of net unrealized performance income is understated in any meaningful way.

Craig Larson

Hey, Brian. It's Craig. Why don't I start? Look, in our experience, when you look at the final mark of those private equity investments that we monetize, you see a healthy markup relative to the prior quarter. And that's been our experience over time. I think it does speak to the rigor of the valuation process. Again, this is an exercise that has been very similar for us for well over a decade at this point in time. We work with third-party firms as part of all of this exercise. And so, I think it speaks to the rigor and, if anything, mild conservatism that we have as it relates to marks as we go through this process.

Robert Lewin

Yeah. I think that covers most of it. I think really the only things from my seat to add on here is we've been doing these types of valuations really close to 20 years now with the advent of our vehicle that was listed on the Euronext back in 2006. There is a high degree of rigor. We feel really good with how we value Level 3s across the firm not just in private equity but everywhere. The vast majority of our holdings, anything of any size and scale is going to be either validated or the valuation will be created and performed by a third-party valuation agent. And then as it relates to whether our accrued carry number is understated, I wouldn't say that. I mean, we feel like our valuations are very appropriate at quarter end given all of the information that we know.

Operator

And our next question, we'll hear from Brennan Hawken with BMO Capital Markets.

Brennan Hawken

Good morning. How you doing, Scott and Rob and Craig? I wanted to follow up on Glenn Schorr's question. So – couldn't resist, Glenn. Sorry. So, look, the struggle with the \$7 is I think probably not that surprising like the environment given where it is. You can look at consensus and saw that basically it was anticipated. But the one part that I'm sort of curious about is on the realizations and the timing. I know you guys have been a lot stronger on DPI. But how is the potential for further delays in monetizations and realizations going across with the LP community? This has been an ongoing delay across the industry. And so, is that leading to some frustrations and how are you managing that? Thanks.

Robert Lewin

Yeah, sure, Brennan. I mean, there's obviously a lot of nuance in that question. But what I'd tell you is as we entered the year – and we talked about this last quarter. We had put together really a bottoms-up budget for how we thought the year would play out based on normalized and constructive monetization environment. And as we're four months into the year, I think it's fair to say that, through that four-month period of time, it's been anything but a normalized environment. And so, as we've thought about what needed to get sold in order to achieve our target for the year and our budget for the year, today, as we're mark-to-market, some things have potentially been delayed. And that's all we're trying to convey because we did really want to be transparent for how we're tracking at this point of the year. That said, I think it's also important to really understand that our DPIs remain, we think, industry-leading certainly relative to our larger competitors. And if anything, that's accelerating. Look at our realized carry in Q1. It was up 120%. I think most importantly is our forward monetization guide of \$1.2 billion plus as it relates to monetization-related revenue. That is the highest we've ever had in our history. And so, things feel really good on that side of the ledger. But at the same time, we're also cognizant of the environment, what that can mean, as Scott noted, in processes, what that could mean maybe as it relates to delayed deployment and pushing back some processes that could happen and the impact across our platform. And we're trying to give you a mark-to-market balanced view on where we are at May 5th of '26.

Scott Nuttall

Hey, Brennan. It's Scott. Just to add a couple of things. One, thanks for the question. I wouldn't confuse the message around we may delay some strategic exits with kind of what we're hearing from the LPs. We have, I think, in a deck – the IR deck on the website a slide somewhere that talks about how we've given cash back from our Private Equity Fund in the U.S. so that business – we've given more back than we've called 9 out of the last 10 years. So, what we're hearing from the LPs is we're like best-in-class in terms of DPI and cash back and they know that there's more coming. So, the LPs are happy with us. That's why you can – you see a record fundraise in private equity, the \$23 billion that Rob mentioned, which is just the U.S. component of our private equity business. But overall fundraising is up, and we're finding investors want to do even more with us. And I mentioned this dispersion we're seeing across our sector. There is extreme bifurcation, and we're getting a lot of very positive feedback on how we're performing and sending so much cash back relative to others. So, I wouldn't confuse the two topics. This is helping us grow the firm faster by virtue of their performance.

Operator

And next, we'll hear from Dan Fannon with Jefferies.

Dan Fannon

Thanks. Good morning. I was hoping you could discuss the broader kind of private wealth backdrop given the challenges in certain private credit vehicles. How do you see that impacting the lineup for the rest of your retail or private wealth products or even the road map with your partnership with Capital Group going forward?

Craig Larson

Hey, Dan. It's Craig. Why don't I start? We thought we'd get a question on this topic. We think it's important just to begin to level set and I touched on this earlier but really the size and breadth of fundraising, right? So, over the trailing 12 months, we've raised \$127 billion, and K-Series was 12% of that. So, it is an important piece, certainly, but we benefit from all the strategies and geographies where we're raising capital. We're wonderfully diversified from a fundraising standpoint. And then we think it's important to take a step back and think about K-Series and the growth in that platform. So, AUM across K-Series at 3/31 was \$38 billion. A year ago, that was 21. So, think of all the volatility that we've all experienced over the last 12 months, Liberation Day, all that's unfolded with Iran. And K-Series AUM is up 80% year-over-year – actually, a little north of that. It's pretty good. So, I think as we look about the backdrop for wealth and what that means for us, no change in our view of the path we're on, the long-term opportunities that we see and just feel very excited about how we're positioned against this opportunity and again, recognizing that this is just one of the pieces of the puzzle that we have given the breadth and the diversification we have across the firm.

Scott Nuttall

Yeah. The only thing I'd add, Dan, is this is a multi-decade build for us and it is all about performance. If we can generate performance and keep earning the trust of the advisers and

the clients, we think this can be a meaningful part of the firm. And as you know, it's early. I mean, these wealth products are relatively early in the development and I think people are learning as we go here. But in terms of your question on impact on other things we're doing, I think Rob mentioned it, we were surprised by how strong and resilient flows were in the first quarter. If history is any guide, all of the media attention will likely slow things down for a bit. I don't know what a bit is yet because it's so early. But to Craig's point, this is a relatively small percentage of how we're accessing capital today and we're working hard to earn the right for it to be a larger and more meaningful part of the firm. In terms of your question about Capital Group, also even earlier there with respect to our partnership, which has developed extraordinarily well and overall in terms of kind of how we think about it ahead of our expectations. But we're still very much in the product development mode and just starting to deploy different products across credit and private equity as we've discussed before.

Operator

And our next question, we'll hear from Arnaud Gibrat with BNP.

Arnaud Gibrat

Yes. Good morning. I've got a question on data centers. You mentioned earlier that you're investing actively there. I was just wondering if you could flesh out a bit more. In particular, I think you've signed a \$50 billion JV with Energy Capital Partners. So, how far along down the pipeline of investments are you? How fast are projects coming on board? I understand there's quite a bit of capital in the space, so I'm just wondering what the prospective returns are shaping up to look like in the space. Thank you.

Craig Larson

Sure. Why don't I begin? Look, it remains a massive theme for us. And I think, one, there remains a lot of interest and focus on data centers, no question, and look, this focus is for good reason, like the CapEx we're seeing out of the hyperscalers continues to be massive. If anything, it feels like it continues to accelerate. And all of that builds on what's already a pretty powerful backdrop given tailwinds in cloud. So, the digital info opportunity is massive, but it's more than just data centers as I mentioned, because, again, you're going to need massive investment alongside of data centers and alongside of all of this aspect from a data standpoint in terms of fixed line opportunities, mobile infrastructure at the same time, again, to support the growth in data and all the consumption. And I think when we look at our firm and how we're positioned for the past 15-plus years, we've been incredibly active across all of these things. So, we've invested over \$40 billion across the digital infrastructure space broadly on data center specifically. We've got six global data center platforms. In terms of your question on frothiness, look, we're going to be thoughtful in how we invest. And I think you've seen lots of capital put against this opportunity and so you should expect to continue to see us be very disciplined as we look at opportunities. We're going to care about who our counterparties are. We're going to care about location. We're going to be – look to continue to be thoughtful around terms. And then I think finally, part of this also gets back to – one of the reasons we think we're well positioned gets back to connectivity and culture because we do invest across these themes

across a number of pools across KKR depending on geography and risk return. So, that would encompass global infrastructure, Asia infrastructure, our diversified core infrastructure strategy, real estate, core private equity, wealth, as well as within Global Atlantic. So, we've got a number of different pools, different risk return across geographies. So, lots of progress and exciting for us. More to come.

Operator

And our next question, we'll hear from Crispin Love with Piper Sandler.

Crispin Love

Thank you. Good morning. Appreciate taking the question. The elevated redemptions in wealth have been highly publicized, but curious if you can detail further what you're seeing from institutions given the noise in wealth. Rob, your comments seem positive there, so I'm curious if you can dig into that a little bit deeper. How aggressively are institutions leaning into direct lending today in other areas like ABF? And then how has that evolved in recent months just given the sentiment shifts? Was there a pause and then start to dip further? Just curious on that trajectory and thought process from the institutions.

Scott Nuttall

Great. Thanks for the question, Crispin. Very different dialogue with institutions. If anything, I would say 12, 24 months ago as it pertains to direct lending. Institutions we're frankly spending less time. A little bit of a question of the retail flows a bit ahead of deal flow, our spreads compress and terms a bit less attractive. And a number of them I think pivoted a bit to Asset Based Finance as another component of private credit. And as you heard from Craig and Rob, that part of our private credit business is more than 2x the size of our direct lending effort. And so, we definitely saw that movement. The shift we're seeing in the last several weeks has been the institutions kind of coming back to direct lending a bit and saying, okay, I see all these headlines about wealth. That should mean that risk reward is getting better on new deals, and therefore, I'm going to take a fresh look at it again. So, we continue to have all the ABF dialogues we've been having, and the pipeline is really robust there. But the shift has been the institutions actually coming back a bit to direct lending and thinking about, well, spreads are up, fees are up, terms are better, and leverage is down. And that's what we've seen in terms of our pipeline the last several weeks. And so, on the back of that, they're more intrigued. So, very, very different dialogue relative to all these headlines that you're reading about on the wealth space, which are very small dollars in the grand scheme of things.

Operator

And next, we'll hear from Patrick Davitt with Autonomous Research.

Patrick Davitt

Hey. Good morning, everyone. A follow-up to Steven's question. Been a lot of focus on software actually, but we are starting to get more incoming around the potential for AI to be a problem for Indian positions in both private equity and real assets. I think India has been a big part of

your Asian investment strategy. So, could you update us on the exposure there? And more specifically, have you done a scrub to identify how exposed those positions are to potential AI disintermediation of things like India outsourcing? Thank you.

Craig Larson

Patrick, it's Craig. I'll start. Look, I think when we go through the exercise and look across the portfolios, again, that's obviously done on a global basis. That's both with a focus on whether that's revenue and EBITDA growth, whether that's AI exposure, whether that is the investment teams and the approach to AI from a defensive and an offensive standpoint. So, I don't think of that differently based on geography. We haven't disclosed any specific portions of India. I would note that I think as we think about Asia and our footprint broadly, I think we think of Asia split broadly between the developed part and then the growing part. So, India is certainly an important part of our franchise as we think about our positioning going forward.

Scott Nuttall

Yeah. Patrick, it's Scott. The answer to your question is, yes, we have scrubbed our India portfolio. No, don't have any elevated level of concern there. You're right. One thing you watch is what does this mean for employment in India given the amount of that economy that historically has been driven by what's happened with outsourcing to that part of the world and we have seen hiring across that part of the Indian business sector come down meaningfully, dramatically. We are not exposed to that. If anything, I think right now as we sit here today, given our focus on infrastructure, electricity grids, and otherwise in India, we've been getting ready for what we see as AI deployment and the opportunity set across digitalization in that market where as you know we have a lot of history and expertise.

Operator

There are no further questions at this time. I would like to turn the floor back to Craig Larson for closing remarks.

Craig Larson

Rachele, just thank you for your help this morning, and thank you, everybody, for your interest in KKR. We look forward to following up in 90 days. Or in the interim, if you have any questions, of course, please feel free to reach out directly to the IR team. Thanks so much.

Operator

Thank you. This does conclude today's teleconference. We thank you for your participation. You may disconnect your lines at this time.

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